AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

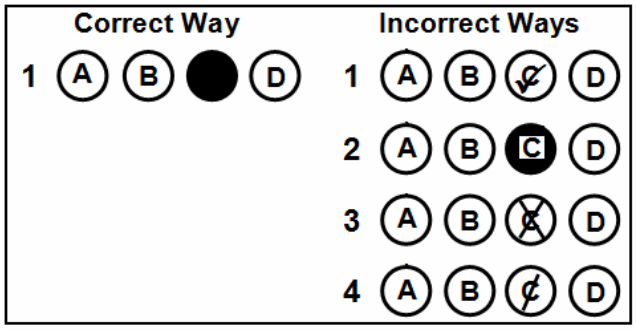
MAY 2014

Principles of Accounting Paper I

Time: 35 minutes Marks: 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Which of the following items is NOT an asset?

   A. Plant and machinery
   B. Cash
   C. Inventory
   D. Owner's equity

2. Which of the following is a current liability?

   A. Trade receivable
   B. Long term loan
   C. Accounts payable
   D. Furniture and fixture

3. Which of the following statements is INCORRECT?

   A. Increase in asset is debit
   B. Increase in liability is credit
   C. Increase in income is debit
   D. Increase in capital is credit

4. A business has the following items in it:

Land	Rs. 100,000
Machinery	Rs. 20,000
Cash	Rs. 10,000
Account receivables	Rs. 5,000

   What will be the current asset of the business?

   A. Rs.10,000
   B. Rs.15,000
   C. Rs.120,000
   D. Rs.135,000

5. Mr. Ahmed started a business with the cash investment of Rs.500,000. Which of the following provides CORRECT accounting information?

	Cash	**Capital**
A.	Debit	Credit
B.	Credit	Debit
C.	Debit	Debit
D.	Credit	Credit

6. Mr. Ali withdrew merchandise for personal use. Which of the following represents the general journal entry for the transaction?

	Particular	P/R	Dr	Cr
A.	Drawing		XXX	
	Purchases			XXX
B.	Drawing		XXX	
	Owner equity			XXX
C.	Owner equity		XXX	
	Drawing			XXX
D.	Owner equity		XXX	
	Purchases			XXX

7. Mr. Abbas commenced a new business by contributing cash Rs.105,000 and merchandise worth Rs. 50,000. The general journal entry for the transaction will be

	Particular	P/R	Debit	Credit
A.	Capital		155,000	
	Cash			105,000
	Merchandise			50,000
B.	Cash		105,000	
	Merchandise		50,000	
	Capital			155,000
C.	Cash		105,000	
	Merchandise			50,000
	Capital			55,000
D.	Merchandise		50,000	
	Cash			105,000
	Capital			50,000

8. The trial balance is prepared by extracting balances from the

A. ledger accounts.
B. general journal.
C. cash book.
D. petty cash book.

9. Which of the following concepts states that for every debit entry recorded there is a corresponding credit entry?

A. Double entry concept
B. Going concerns concept
C. Accruals concept
D. Consistency concept

10. Which of the following CORRECTLY represents cost of goods sold (CGS)?

    A. Opening inventory + Net purchases – ending inventory
    B. Opening inventory + Net purchases + ending inventory
    C. Opening inventory – Net purchases – ending inventory
    D. Opening inventory – Net purchases + ending inventory

11. Bank overdraft is considered as a/an

    A. liability.
    B. asset.
    C. income.
    D. expense.

12. The cash received from a customer

    A. is recorded on the receipt side of the cashbook.
    B. is recorded on the payment side of the cash book.
    C. is recorded on both receipts and payment sides of the cashbook.
    D. is not recorded in the cash book.

13. Which of the following will NOT be recorded in the cash book?

    A. Merchandise purchase on credit
    B. Payment for utility bill
    C. Payment for entertainment
    D. Payment for postage

14. Which of the following is the CORRECT entry for recording petty cash expenses?

	Particular	**P/R**	**Debit**	**Credit**
A.	Cash		XXX	
	Petty cash fund			XXX
B.	Petty cash fund		XXX	
	Cash			XXX
C.	Petty cash fund		XXX	
	Petty cash expenses			XXX
D.	Petty cash expenses		XXX	
	Petty cash fund			XXX

15. Credit sales is recorded on the

    A. debit side of the sales ledger account.
    B. credit side of the sales ledger account.
    C. debit side of the purchase ledger account.
    D. credit side of the purchase ledger account.

16. Debit balance in sales ledger account is

    A. revenue.
    B. expense.
    C. assets.
    D. liability.

17. Credit balance in purchase ledger account is

    A. income.
    B. expense.
    C. asset.
    D. liability.

18. Cash purchase is

    A. recorded on the debit sides of purchase ledger control account.
    B. recorded on the credit sides of purchase ledger control account.
    C. recorded on both sides of purchase ledger control account.
    D. not recorded in purchase ledger control account.

19. Salim Traders purchased a machine on 1st Jan, 2012 worth Rs. 150,000 with scrap value of Rs. 10,000. The company uses 20% diminishing balance method of depreciation. The depreciation for the year 2012 will be

    A. 15,000
    B. 28,000
    C. 30,000
    D. 32,000

20. The following information is taken from the books of Al-Mehran Brothers.

Cost of machine	Rs. 200,000
Useful life	10 years
Scrap value	Rs. 20,000

    The depreciation for the year using straight line method will be

    A. 18,000
    B. 20,000
    C. 22,000
    D. 24,000

21. The general journal entry to record the provision of bad debts is

	Particular	P/R	Debit	Credit
A.	Bad debts expense		XXX	
	Allowance for bad debts			XXX
B.	Allowance for bad debts		XXX	
	Bad debts expense			XXX
C.	Account receivable		XXX	
	Bad debts expense			XXX
D.	Account receivable		XXX	
	Allow for bad debts			XXX

22. The general journal entry to record the depreciation is

	Particular	P/R	Debit	Credit
A.	Depreciation expense		XXX	
	Allowance for depreciation			XXX
B.	Allowance for depreciation		XXX	
	Depreciation expense			XXX
C.	Depreciation expense		XXX	
	Net income			XXX
D.	Depreciation expense		XXX	
	Capital			XXX

23. The formula for calculating depreciation using the straight line method is

A. $\frac{\text{cost of machine}}{\text{useful life in years}}$

B. $\frac{\text{cost of machine} - \text{scrap value}}{\text{useful life in years}}$

C. $\frac{\text{cost of machine} + \text{scrap value}}{\text{useful life in years}}$

D. $\frac{\text{cost of machine}}{\text{scrap value}}$

24. The provision for doubtful debt is

A. an asset.
B. a contra asset.
C. a liability.
D. capital.

25. The general journal entry to record the increase in provision for doubtful debts will be

	Particular	P/R	Debit	Credit
A.	Net income		XXX	
	Provision for doubtful debts			XXX
B.	Provision for doubtful debts		XXX	
	Net income			XXX
C.	Net income		XXX	
	Account receivable			XXX
D.	Account receivable		XXX	
	Provision for doubtful debts			XXX

END OF PAPER

Please use this page for rough work